

What qualifications do you have?

What brokerage do you use as a custodian for my investments?

What could my potential tax implications be?

Even if you choose to work with a financial advisor, it's important that you still have an overall financial plan that you are working with (i.e. a plan to pay off debt, save for emergencies, goals, etc.). It's also still a good idea to educate yourself about your investments, because no one cares about your finances more than you.

PRACTICING WITH SIMULATION ACCOUNTS

As you get comfortable with learning how investing in the stock market works and doing your own research, you may want to consider starting a practice simulation account. Having a simulation account will allow you to test the waters with virtual “play money” you can use to invest in real-time simulations of the stock market. Some great platforms to get started with include:

- Investopedia's stock market game (investopedia.com/simulator/)
- Market Watch's virtual stock exchange (marketwatch.com/game)

With both of these account types, you can test your skills, take challenges, create investment watch-lists, and invest in a variety of stocks, funds, and bonds available for trade in the U.S. stock market.

TRADING VERSUS INVESTING

I get asked about the difference between trading and investing pretty frequently, so while we are on the topic of how and where to invest, I'd like to touch on this briefly. As discussed throughout this book, the goal of investing is to build long-term wealth by buying stocks, bonds, funds, and so on, and holding onto them for an extended period of time while they appreciate in value and earn returns. With this approach as an investor, your earnings are achieved from compounding, reinvesting your profits, and receiving dividend payments.